

CMD'S NEW YEAR MESSAGE



Dear Colleagues,

Yet another year has come to a close yielding place to the new. I take this moment to wish you all a very happy New Year that ushers in with fresh hopes and promises.

In 2021, the second wave of COVID-19 took a heavy toll on our Company as it did on the country. We pray for the departed souls who fell victim to the raging pandemic. This reminds us to be more vigilant in abiding by the COVID-19 protocols to help fight the Omicron variant which is presently wreaking havoc in many parts of the globe and has been detected in India too. Despite the viral outbreak and other allied hurdles, I am glad to say that HCL team has achieved several commendable milestones as under.

- *HCL has raised an equity fund of Rs500 Crore from the market through QIP in April 2021, as the first non-banking CPSE. This was extremely crucial to minimise the debt burden of the Company and to boost the capex projects.*
- *After consistent follow-ups, the Govt. of Jharkhand, vide its Cabinet meeting dated 09.12.2021, has approved the extension of our Surda Mining Lease, as per Mineral (Mining by Govt. Company) Rule, 2015. This brings us on the threshold of restarting our mining operations at Surda.*
- *After persistent pursuit with the Ministry of Finance, GST Council with effect from 01.10.2021 has corrected the Inverted Duty Structure on Copper Concentrate which has now led to an increase in the cash flows of the Company.*
- *Interconnection between the North and South decline in MCP Underground Mines has been established at 240 and 296 mRL (mRL= Meter Reduced Level, 0-mRL is sea level) and, at 165 mRL (third level), South ventilation shaft has also been connected to the decline.*
- *HCL in selling most of its Copper Concentrate with dynamic pricing terms to one of the nation's metal conglomerates. This measure helps to promote domestic industry and reduce import dependency, in sync with the spirit of Aatma Nirbhar Bharat Abhiyan. Further, this has also given better sales realization and increased cash flows of the Company.*

- *Khetri, Kolihan and Malanjkhand Copper mines have been adjudged for national safety award by DGMS.*
- *Khetri mine has received Five Star Rating Award.*
- *Profitability of the Company has increased remarkably.*
- *HCL has paid a dividend of Rs 33.85 Crore for FY 20-21.*
- *HCL team has facilitated the GoI through DIPAM to raise around Rs 742 Crore by sale of Govt. stake by way of OFS in September 2021.*

A number of notable steps have also been initiated for the welfare of the employees during these difficult times like:

- *Introduction of Pandemic Benevolent Fund for the family of the deceased employees*
- *Clearing arrear of salaries and wages*
- *Enhancement of medical insurance amount for the ex-employees*
- *Extending leave encashment facility to larger number of employees*
- *Setting the stage for discussion on wage revision for workmen*

I expect our team to take HCL to newer heights in the upcoming year. However, it is needful to remember that 2022 may throw up serious challenges as the open pit mine of MCP is at the fag end of its life and production from MCP Underground mine has to be maximized. At this critical juncture, KCC and ICC Units need to pull their socks up to supplement production.

Meanwhile, rebounding from the massive slump induced by the pandemic, the Indian economy has begun to show sure signs of recovery. Market reports forecast that the growth trends for the metals will continue in the coming decades, especially for the base metals like copper, due to their enormous applications in industry, relative scarcity and low resource base. This opens a world of opportunity to us. It is now upon us to seize the moment and reach new horizons.

As the New Year begins with another clean slate to write on, it also outlines the areas where our undivided focus should be. The Company needs to aggressively work on meeting the deadlines of mine expansion and production targets. Further, considering the steep MoU targets for the year 2021-22, we have an uphill task ahead. Hence, it is the need of the hour to tighten our seat belts and put in our best efforts collectively for our sustenance.

We, as a Company, have shown exemplary strength in the past to overcome all odds and challenges. So I am sure that, come what may, our commitment will see us through all headwinds. And succeed we must!

With this resolve, I wish all of you and your family members health and happiness, peace and prosperity in 2022.

Arun Kumar Shukla
Chairman and Managing Director
January 01, 2022